April 5, 2023

Senator Tyler Dees
2584 N. Hico Street,
Siloam Springs, AR 72761

Representative Jon S. Eubanks
2543 Greasy Valley Road,
Paris, AR 72855

Senator Jim Petty
P.O. Box 800,
Van Buren, AR 72957

RE: Ad Trade Letter in Opposition to Arkansas SB 396

Dear Senator Dees, Representative Eubanks, and Senator Petty:

On behalf of the advertising industry, we write to express our significant concerns with the proposed legislation under SB 396.[1] We and the companies we represent, many of whom do substantial business in Arkansas, strongly believe consumers deserve meaningful privacy protections supported by reasonable government policies. However, as presently drafted, SB 396's broad consent provisions would place unreasonable mandates on companies while severely limiting minors' access to the Internet's benefits. Additionally, the bill's private right of action would threaten to expose companies to draconian penalties without providing proportionate benefits for consumers. **We therefore respectfully ask you not to advance SB 396 through the legislative process in its current form.**

As the nation's leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,500 companies that power the commercial Internet, which accounted for 12 percent of total U.S. gross domestic product ("GDP") in 2020.[2] Our group has more than a decade's worth of hands-on experience it can bring to bear on matters related to consumer privacy and controls.

As presently drafted, SB 396 would require a social media company to verify the age of all account holders and prohibit all individuals under age 18 from holding an account without express

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[1] Arkansas SB 396 (Reg. Sess. 2023), located here.
[2] John Deighton and Leora Kornfeld, *The Economic Impact of the Market-Making Internet*, INTERACTIVE ADVERTISING BUREAU, 15 (Oct. 18, 2021), located at https://www.iab.com/wp-content/uploads/2021/10/IAB_Economic_Impact_of_the_Market-Making_Internet_Study_2021-10.pdf (hereinafter, "Deighton & Kornfeld 2021").

parental consent.[3] The bill's age-gating provisions would significantly hinder all Arkansas residents—adults and minors alike—from being able to seamlessly and easily access informational resources, products, and services online. In addition, SB 396's broad restrictions related to individuals under age 18 would result in an environment where an Arkansas toddler may be treated the same as a student about to enter college. SB 396 would prevent Arkansas minors from accessing a wealth of information that otherwise would be at their fingertips. Shrinking the variety of content, viewpoints, voices, and information 17-year-olds can reach will not protect them, but instead will ensure they will not have the same experience with the Internet as their peers living in other states, such as Oklahoma or Mississippi. This broadly defined parental consent requirement could have the unintended result of removing teens from the economy and workforce. The bill will turn off or severely limit Arkansan minors' access to the greatest informational resource in modern history.

Furthermore, the bill's private right of action would not offer consumers adequate redress for violations of its terms or sufficiently deter undesired business conduct.[4] Instead, the effect of a private right of action would be to enrich a select few opportunistic trial lawyers while providing Arkansas consumers little by way of protection.[5] Such an enforcement scheme would also harm Arkansas's economy by discouraging innovation. It would dissuade entities from providing new or cutting-edge products and services to Arkansas residents for fear of exposure to significant and potentially enterprise-threatening costs for technical violations of law. The threat of an expensive lawsuit would disproportionately impact Arkansas's small business community by forcing such small companies to agree to settle claims to avoid expensive litigation, even if they are convinced the claims are without merit. [6] Overall, a private right of action would serve as a boon to the plaintiff's bar without preventing practices that actually harm consumers, and small businesses would bear the lion share of the impact. Arkansas should not open the floodgates of potential litigation against the state's small businesses by including a private right of action in SB 396.

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[3] Arkansas SB 396, § 4-88-1102.

[4] Arkansas SB 396 § 4-88-1103(c)(1).

[5] A select few attorneys benefit disproportionately from private right of action enforcement mechanisms in a way that dwarfs the benefits that accrue to the consumers who are the basis for the claims. For example, a study of 3,121 private actions under the Telephone Consumer Protection Act ("TCPA") showed that approximately 60 percent of TCPA lawsuits were brought by just forty-four law firms. Amounts paid out to consumers under such lawsuits proved to be insignificant, as only 4 to 8 percent of eligible claim members made themselves available for compensation from the settlement funds. U.S. Chamber Institute for Legal Reform, *TCPA Litigation Sprawl* at 2, 4, 11-15 (Aug. 2017), located here.

[6] For instance, in the early 2000s, private actions under California's Unfair Competition Law ("UCL") "launched an unending attack on businesses all over the state." American Tort Reform Foundation, *State Consumer Protection Laws Unhinged: It's Time to Restore Sanity to the Litigation* at 8 (2003), located here. Consumers brought suits against homebuilders for abbreviating "APR" instead of spelling out "Annual Percentage Rate" in advertisements and sued travel agents for not posting their phone numbers on websites, in addition to initiating myriad other frivolous lawsuits. These lawsuits disproportionately impacted small businesses, ultimately resulting in citizens voting to pass Proposition 64 in 2004 to stem the abuse of the state's broad private right of action under the UCL. *Id.*

We and our members support protecting all Arkansans' privacy. We believe, however, that SB 396 would impose particularly onerous requirements on entities doing business in the state, including the threat of crippling litigation costs, and would unnecessarily impede Arkansas minors and adults from receiving helpful services and accessing useful information online. We therefore respectfully ask you to reconsider SB 396 or amend it to reflect the recommendations set forth in this letter.

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Thank you for your consideration of this letter.

Sincerely,

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CC: Arkansas House of Representatives

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